

CASE ID: 201205710840

EPISODE NAME: China Sanctions Philippines Bananas

2012/05/10 - 2016/10/20

Sender: China (710)

Target: Philippines (840)

Issue: Solve Territorial Dispute (5)

Final Outcome: Total Acquiescence by Target State following sanctions imposition (7)

Summary:

Starting on 2012/05/10, China subjected bananas imported from the Philippines to excessive customs inspections to pressure the Philippines to withdraw their claims over the South China Sea. Then, on 2016/03/26, China destroyed \$33,000 worth of Filipino banana imports, and barred imports from 27 Filipino banana companies. On 2016/10/20, the Philippines agreed to reopen South China Sea talks with China, and announced a “separation” from the United States, resulting in China removing their sanctions on Filipino bananas.

Narrative:

On 2012/05/10, China began targeting the Philippines with economic sanctions, involving excessive customs inspections of Filipino bananas and destruction of banana imports from the Philippines, in order to coerce the country into relinquishing control of disputed territories in the South China Sea.¹

The conflict started on 2012/04/08, when a Philippine navy surveillance plane identified eight Chinese fishing boats in a lagoon in the Scarborough Shoal, a disputed territory in the South China Sea that China calls Huangyan Island.² In response, the Philippine government deployed its largest warship.³ Sailors boarded the Chinese vessels on 2012/04/10, and found large amounts of illegally harvested corals, giant clams and live sharks.⁴ Two Chinese maritime surveillance ships then entered the lagoon and prevented the Philippine authorities from arresting the sailors, creating a standoff.⁵ The Chinese boats left the harbor under the protection of Chinese authorities on 2012/04/13.⁶ Over the next two months, Chinese ships patrolled the Scarborough Shoal, preventing Filipino fishermen from entering.⁷ Scarborough Shoal

¹ Santos, Dennis. “Banana exports to be hit by Scarborough dispute— industry insider.” *Philippine Daily Inquirer*, May 3rd, 2012.
business.inquirer.net/57081/banana-exports-to-be-hit-by-scarborough-dispute%e2%80%93industry-insider.

² “Philippines and China in Stand-off over South China Sea.” *The Guardian*, April 11th, 2012.
www.theguardian.com/world/2012/apr/11/philippines-china-stand-off-south-china-sea.

³ Ibid.

⁴ Ibid.

⁵ Ibid.

⁶ “Chinese Fishing Boats End Philippine Standoff.” *Al Jazeera*, April 14th, 2012.
www.aljazeera.com/news/2012/4/14/chinese-fishing-boats-end-philippine-standoff.

⁷ “China’s Maritime Disputes.” *Council on Foreign Relations*, 2017.
www.cfr.org/timeline/chinas-maritime-disputes.

is believed to be rich in mineral resources, natural gas, and oil, and has served as the subject of a territorial dispute between China and the Philippines since the 1990s.⁸

China never formally threatened sanctions in response to the incident. However, on 2012/05/10, the Chinese began halting Filipino bananas at customs for longer inspections.⁹ The Filipino Banana Growers and Exporters Association claimed that the decision was a retaliation for the conflict in the South China Sea.¹⁰ However, some reports suggest restrictions on banana imports began a month prior to the incident after the Chinese claimed they found contaminated shipments, making it unclear whether the territorial dispute was the sole cause.¹¹ China also began to restrict travel to the Philippines in 2012/05 after the standoff resulted in widespread anti-Chinese protests.¹² The Filipino government claimed that neither restrictions on banana exports nor tourism would have a significant economic impact, but the country ultimately lost \$34 million in banana exports in 2012/05.^{13 14}

In 2013/01, the Philippines handed the South China Sea disputes over to the Arbitration Tribunal of the Permanent Court of Arbitration, and from 2013 to 2015 there were no formal meetings between the countries' foreign ministers.^{15 16} On 2016/07/12 the Philippines won the case.¹⁷ In response, the Chinese destroyed \$33,000 worth of banana imports on 2016/03/26, and later barred 27 Filipino banana exporters.¹⁸ On 2016/10/20, Chinese President Xi Jinping and the Filipino president Duterte agreed to reopen South China Sea talks, and Duterte announced a

⁸ Santos, Dennis. "Banana exports to be hit by Scarborough dispute— industry insider." *Philippine Daily Inquirer*, May 3rd, 2012.
business.inquirer.net/57081/banana-exports-to-be-hit-by-scarborough-dispute%e2%80%93industry-insider

⁹ Perlez, Jane. "Dispute Between China and Philippines Over Island Becomes More Heated." *The New York Times*, May 10th, 2012.
www.nytimes.com/2012/05/11/world/asia/china-philippines-dispute-over-island-gets-more-heated.htm

¹⁰ West, Kesha. "Banana crisis blamed on Philippines-China dispute." *ABC News Australia*, June 29th, 2012.
www.abc.net.au/news/2012-06-29/an-banana-exporters-caught-in-philippines-china-dispute/4100422

¹¹ "Philippines Seeks New Markets amid Sea Dispute with China." *Reuters*, April 15th, 2012.
www.reuters.com/article/business/philippines-seeks-new-markets-amid-sea-dispute-with-china-idUSLNE84G026/

¹² Ibid.

¹³ "China's Maritime Disputes." *Council on Foreign Relations*, 2017.
www.cfr.org/timeline/chinas-maritime-disputes

¹⁴ "Philippines Seeks New Markets amid Sea Dispute with China." *Reuters*, April 15th, 2012.
www.reuters.com/article/business/philippines-seeks-new-markets-amid-sea-dispute-with-china-idUSLNE84G026/

¹⁵ *The South China Sea Arbitration (The Republic of the Philippines v. The People's Republic of China)*. Permanent Court of Arbitration, 12 July 2016, pca-cpa.org/en/cases/7/

¹⁶ Perlez, Jane. "Rodrigo Duterte and Xi Jinping Agree to Reopen South China Sea Talks." *The New York Times*, October 20th, 2016.
<https://www.nytimes.com/2016/10/21/world/asia/rodrigo-duterte-philippines-china-xi-jinping.html>

¹⁷ *The South China Sea Arbitration (The Republic of the Philippines v. The People's Republic of China)*. Permanent Court of Arbitration, 12 July 2016, pca-cpa.org/en/cases/7/

¹⁸ Simeon, Louise. "China Lifts Import Ban on Philippine Bananas." *The Philippine Star*, October 7th, 2016, www.philstar.com/business/2016/10/07/1630958/china-lifts-import-ban-philippine-bananas

“separation” from the United States.¹⁹ The Banana exports to China reportedly increased by 50 percent in 2017.²⁰

¹⁹ Perlez, Jane. “Rodrigo Duterte and Xi Jinping Agree to Reopen South China Sea Talks.” *The New York Times*, October 20th, 2016.

<https://www.nytimes.com/2016/10/21/world/asia/rodrigo-duterte-philippines-china-xi-jinping.html>.

²⁰ Bondoc, Marly. “Export of Philippine Fruits to China Increased by 50%.” *GMA News Online*, July 26th, 2017.

www.gmanetwork.com/news/money/economy/619549/export-of-philippine-fruits-to-china-increased-by-50/story/.